

GRANITE

Dislocation-reversion in individual corporate bonds — buying forced-seller mispricings on the TRACE tape.
Bias-audited, 22-year backtest.

Asset class · US corporates IG+HY (CUSIP-level)

Backtest · 2002–2025 (survivorship-complete)

Benchmark · LQD (total return)

Universe · 73,835 bonds · 30M obs

+2.1%

EXCESS VS CTRL
p<0.001

76%

WIN RATE
68,721 trades

+1.6%

OOS EXCESS
2016–2025

+5.57%

CAGR
LQD +4.62%

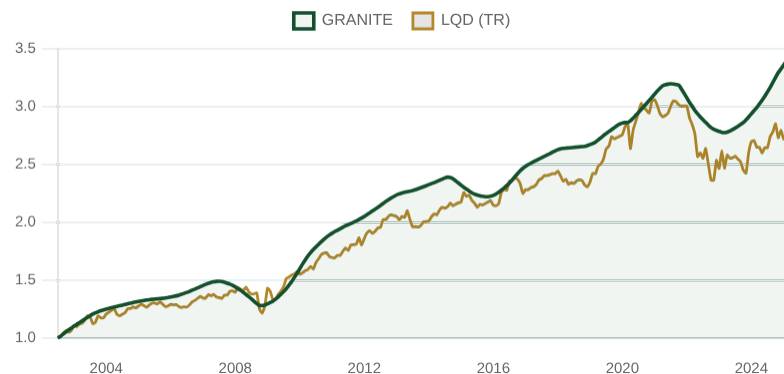
+240.9%

TOTAL (22.6Y)
LQD +177.5%

-14.1%

MAX DD*
LQD -25.0%

GROWTH OF \$1 — TOTAL RETURN VS LQD



	Total	CAGR	Max DD*
GRANITE strategy	+240.9%	+5.57%	-14.1%
LQD (total return)	+177.5%	+4.62%	-25.0%

REGIME ROBUSTNESS — EXCESS VS MATCHED CONTROL

Era	Trades	Win	Mean/tr	Excess	p
2004-2007	9,686	73%	+2.28%	+0.51%	0.02
2008-2009 GFC	7,142	73%	+18.50%	+0.27%	0.38
2010-2015	14,718	83%	+6.62%	+1.93%	<.001
2016-2019	10,480	85%	+10.96%	+3.26%	<.001
2020 COVID	8,885	96%	+12.32%	+4.14%	<.001
2021-2023	18,671	46%	+0.48%	+0.59%	<.001

THE STRATEGY

Buy when a bond's ask prints ≥ 3 pts below its trailing 60-day median clean price (a forced-seller dislocation) and it clears a trailing-liquidity gate. Fill at the ask. Hold ~1 year; exit at the bid. Parameters transferred verbatim from the muni strategy — zero corporate-specific fitting.

SIGNAL STRENGTH BY DEPTH (FULL SAMPLE)

Threshold	Trades	Win	Excess	p
≥ 1.0 pt below	116,549	74%	-0.00%	0.57
≥ 2.0 pt below	88,748	75%	+0.90%	<.001
≥ 3.0 pt below	68,721	76%	+2.06%	<.001
≥ 4.0 pt below	54,688	77%	+3.49%	<.001

IN-SAMPLE → OUT-OF-SAMPLE

Window	Trades	Mean/tr	Excess
In-sample 2002–2015	35,023	+10.21%	+3.37%
Out-of-sample 2016–2025	34,834	+5.97%	+1.63%

Recommended book — GRANITE-XL ($\leq 5y$ · issuer cap · limit entry · depth sizing · recovery exit)

Five frozen rules, each OOS-validated: $\leq 5y$ duration; 1 position/issuer; **limit entry** (fill only if ask $\leq$ prior mid + 0.25 — the cap also transfers *in reverse* to munis, four independent validating samples); size $\propto$ depth; **recovery exit** (first bid $\geq 21d$ once mid recovers to entry-day median). One-shot OOS 2016–25, paired on identical entries: **CAGR +17.1%, Sharpe 1.03, maxDD -34%** (honest daily marks; IS +19.2%/1.15). Excess positive in all six eras incl. GFC and 2021–23; strongest in the most-liquid quartile. A 13-family Sharpe-3 search was killed by pre-registered gates — the honest frontier is Sharpe ~ 1.0 – 1.2 ; CAGR-10 is met OOS, Sharpe-3 requires hedging instruments this data lacks.

BIAS AUDIT

- Survivorship: full TRACE tape, defaulters retained; 7–14% stale-exit losses taken.
- Selection: all 55,545 bonds, not a top-N cut.
- Look-ahead: point-in-time; params transferred from munis (no corp fitting).

ANTI-OVERFITTING

- Regime & credit overlays **rejected** for failing OOS (+0.94% / +0.64% vs base +1.63%).
- Signal monotone in depth; IS & OOS both p<0.001.
- Duration lever **accepted**: monotone, structural, improves IS *and* OOS (repairs GFC).

DATA & EXECUTION

- Source: Open Source Bond Asset Pricing (TRACE), free.
- Fills at actual daily bid/ask (spread paid).
- Deeper thresholds ($\geq 4pt$) concentrate the alpha.